When to File Your Return

Your 2025 Massachusetts Form 1 is due on or before April 15, 2026. See "Filing Due Dates" above.

Automatic Extensions

All taxpayers filing personal income tax returns are automatically granted a six-month extension of time to file their tax return as long as at least 80% of the total amount of tax ultimately due on or before the due date prescribed for payment of the tax has been paid. See TIR 16-10.

Also, if you are making a payment of $5,000 or more, you are required to submit your extension payment electronically. Failure to do so will result in a penalty. If you are making a payment of less than $5,000, you also have the option of filing your extension electronically. You do not need to file an extension if no payment is due. If there is a tax due with your extension, payment can be made through Electronic Funds Withdrawal.

Form 1 Extension Worksheet

1. *Enter amount from Form 1, line 32* . . . . . .

2. *Enter the total of Form 1, lines 38 through 40 and 43 through 47* . . . . . .

3. *Amount due. Subtract line 2 from line 1, not less than 0* . . . . . .

Note: *Your extension will not be valid if you fail to pay 80% of your total tax liability through withholding, estimated tax payments or with your extension.*

Must I File on a Calendar Year Basis?

No. You may file on a fiscal year basis if you keep your books and records on that fiscal year basis and if you receive permission from the Commissioner of Revenue. If you file on a fiscal year basis, you must file on or before the fifteenth day of the fourth month after the end of your fiscal year. Taxpayers filing on a fiscal year basis must complete and file Form 13, Notice of Designation of Fiscal Year, available at mass.gov/dor or by calling (617) 887-6367 or toll-free in Massachusetts (800) 392-6089.

Fiscal Year Filers

Fiscal year filers should file using the tax form for the calendar year within which the short year falls. If the short year spans more than one calendar year, the filer should file using the tax form for the calendar year in which the short year began. If the current form is not available at the time the short year filer must file, the filer should follow the rules explained in TIR 11-12.

What If I am Unable to Pay?

If you are unable to pay the full amount of tax that you owe, you should pay as much of your tax liability as possible with this return. You will receive a bill from DOR for the remaining amount of tax due plus accrued interest and penalty charges. If the amount of that bill is less than $10,000 and you still cannot pay it in full, you must apply formally to DOR for a small payment agreement in order to avoid collection activity. You can apply for a small payment agreement by visiting MassTaxConnect at mass.gov/masstaxconnect.

Note: Do not mail your request for a payment agreement with your tax return. Requests can be made once a bill is issued through DOR's MassTaxConnect application at mass.gov/dor or by calling DOR at (617) 887-6367. Setting up a small payment agreement will allow you to make monthly payments within a set time period to satisfy your unpaid liability.

Name and Address

Print the full name, address, and Social Security number of each person filing the return in the spaces provided. Enter names as they appear on your federal return.

Social Security Number(s)

Be sure to enter your Social Security number(s) on your return. Also, enter your Social Security number on pages 2 through 4 of Form 1 and on page 2 of Schedule B or Schedule C, if filed. Failure to show the correct Social Security number in the space provided will delay the processing of your return. If filing jointly, list your number and your spouse's number in the order they appear on your federal return. Taxpayers filing their U.S. return using an Individual Taxpayer Identification number (ITIN) should enter that ITIN as their Social Security number in the appropriate space. Also, be sure your employer has listed the correct Social Security number on your Form W-2. If you are married, you must list your spouse's name and Social Security number even if you are filing a separate return, except as provided below. See line 1 instructions for married filing a separate return.

To apply for an SSN, you must complete Form SS-5. Form SS-5 is available online at socialsecurity.gov, from your local Social Security Administration (SSA) office, or by calling the SSA at (800) 772-1213. It usually takes about two weeks to receive an SSN. If you are a nonresident or resident alien and you do not have and are not eligible for an SSN, you must apply for an ITIN. For details on how to do so, see Form W-7 and its instructions. Form W-7 is available online at irs.gov or by calling the IRS at (800) 829-1040. It usually takes about four to six weeks to receive an ITIN.

Note: You must wait until you receive an ITIN or SSN to file your Massachusetts return.

Filing an Amended Return

Note: When filing an Amended return, the **Amended return** oval must be filled in. For example, if you are filing an Amended return due to a Federal amendment, both the **Amended return** oval and the **Federal amendment** oval must be filled in.

Filing an Amended Return

If you need to change a line item on your return, complete a new return with the corrected information and fill in the **Amended return** oval. Your amended return must include all schedules filed with the original return even if there are no changes to the schedules. Mail your amended return to the same address used for original returns. Do not file Form ABT with your amended return. An amended return can be filed to either increase or decrease your tax. An amended return should also be filed to correct a credit amount (such as withholding) or to dispute a health care penalty. Generally, an amended return must be filed within three years of the date that your original return was filed. Visit mass.gov/dor/amend for more information about filing an amended return.

Federal Changes

If your amended return includes changes you have reported on an amended federal return filed with the IRS for the same tax year or if you are amending due to changes as a result of a federal audit, fill in the **Federal amendment** oval.

If your amended return does not report changes that result from the filing of a federal amended return or from a federal audit (for example, if the amended Massachusetts return is reporting a rental deduction not claimed on the original return) fill in only the **Amended return** oval.

Other Jurisdiction Change

If your amended return includes changes resulting from another state or jurisdiction audit or change, fill in the **Other Jurisdiction change** oval and enter date of change in the space provided.

Amended return due to IRS BBA Partnership Audit

If your amended return includes changes made due to an IRS BBA Audit, fill in the **Amended return due to IRS BBA Partnership Audit** oval.

Consent to Extend the Time to Act on an Amended Return treated as Abatement Application

In certain instances, an amended return showing a reduction of tax may be treated by DOR as an abatement application. Under such circumstances, by filing an amended return, you are giving your consent for the Commissioner of Revenue to act upon the abatement application after six months from the date of filing. See TIR 16-11. You may withdraw such consent at any time by con-

rately may allocate the rent deduction differently, provided the amount taken by each spouse does not exceed 50% of the rent actually paid by that spouse, and provided their combined rental deductions do not exceed $4,000. If the allocation results in one spouse claiming a deduction in excess of $2,000, that spouse must enclose with his/her return a statement signed by the other spouse indicating consent to the allocation. The statement must contain the name, address and Social Security number of the consenting spouse and the amount of rental deduction taken by that spouse.

Line 15. Other Deductions (from Schedule Y)

Enter the total from Schedule Y, line 19. Be sure to enclose Schedule Y with your return. Failure to do so will delay the processing of your return.

Line 17. 5.0% Income After Deductions

Subtract line 16 from line 10. Enter the result in line 17. If line 16 exceeds line 10, enter 0 in line 17.

Line 19. 5.0% Income After Exemptions

Subtract line 18 from line 17. If line 18 exceeds line 17, enter 0 in line 19.

If line 18 exceeds line 17 and you received interest income (other than interest from Massachusetts banks), dividends or capital gain income, complete the Schedule B, Line 36 and Schedule D, Line 20 Worksheet, if applicable. All others proceed to line 20.

Schedule B, Line 36 and Schedule D, Line 20 Worksheet. Excess Exemptions from Interest and Dividend Income, 8.5% and 12% Income and Long-Term Capital Gain Income (Only if Single, Head of Household, or Married Filing Jointly)

If your total exemptions in Form 1, line 18 are more than the amount of your 5.0% income after deductions in Form 1, line 17, the excess may be applied against any interest and dividend income and income taxed at 8.5% or 12%. Any remaining excess amount may then be applied against any long-term capital gain income. Complete this worksheet only if Form 1, line 17 is less than Form 1, line 18 and you received interest income (other than interest from Massachusetts banks), dividends or capital gain income to determine if you qualify for the excess exemption. Enter all losses as 0.

1. *Enter amount from Schedule B, line 35. Not less than 0* . . . . . .

2. *Enter amount from Form 1, line 18* . . . . . .

3. *Enter amount from Form 1, line 17* . . . . . .

4. *Subtract line 3 from line 2. If 0 or less, you do not qualify for this exemption. Omit remainder of worksheet* . . . . . .

5. *Excess exemptions applied against interest and dividend income and 8.5% or 12% income. If line 1 is larger than line 4, enter line 4 here and in Schedule B, line 36. If line 4 is equal to or larger than line 1, enter line 1 here and in Schedule B, line 36. Complete lines 6 through 8* . . . . . .

6. *Subtract line 5 from line 4. If 0, omit remainder of worksheet* . . . . . .

7. *Enter Schedule D, line 19. Not less than 0* . . . . . .

8. *Excess exemptions applied against long-term capital gain income. If line 7 is larger than line 6, enter line 6 here and in Schedule D, line 20. If line 6 is equal to or larger than line 7, enter line 7 here and in Schedule D, line 20* . . . . . .

Line 20. Interest and Dividend Income

If you have any interest income other than interest from deposits in banks located in Massachusetts, dividend income, certain capital gains or losses, or any adjustments to interest income (other than interest from Massachusetts banks), you must complete Schedule B. Be sure to enclose Massachusetts Schedule B. To determine if you need to file Schedule B, refer to the Schedule B instructions in this booklet.

Enter in line 20 the amount from Schedule B, line 38.

Tax on 5.0% Income

Line 22. 5.0% Tax (from tax table)

If line 21 is less than $24,000, find the proper tax by using the tax tables found in the back of this booklet. If line 21 is greater than $24,000 multiply by 0.05 and enter the result in line 22.

Note: Personal income tax forms must provide an election to voluntarily pay tax at a rate of 5.85% on taxable income which would otherwise be taxed at a rate of 5.0%. The election to pay tax at the rate of 5.85% does not apply to items of income taxed at 8.5% (short-term capital gains) and 12% (gains on collectibles). If choosing the optional 5.85% tax rate, multiply line 21 and Schedule D, line 21 by 0.0585 and fill in the oval.

8.5% and 12% Income & Tax

Line 23a. 8.5% Income from Certain Capital Gains

Enter in line 23a the amount from Schedule B, line 39. Multiply this amount by 0.085 (8.5%) and enter the tax in line 23.

Line 23b. 12% Income from Certain Capital Gains

Enter in line 23b Capital Gains taxed at 12%. Multiply this amount by .12 (12%) and enter the tax in line 23b.

Be sure to enclose Massachusetts Schedule B. To determine if you need to file Schedule B, refer to the Schedule B instructions in this booklet.

Tax on Long-Term Capital Gains

Line 24. Schedule D (Long-Term Capital Gains and Losses Excluding Collectibles)

Enter in line 24 the amount from Schedule D, line 22, but not less than 0. To determine if you need to file Schedule D, refer to the Schedule D instructions in this booklet.

Excess Exemptions

If excess exemptions were used in calculating lines 20, 23 or 24 (see Schedule B, line 36 and/or Schedule D, line 20), be sure to fill in the oval in line 24.

Line 25. Credit Recapture Amount

If any Brownfields Credit (BC), Economic Opportunity Area Credit (EOA), Low-Income Housing Credit (LIH) or Historic Rehabilitation Credit (HR) property is disposed of or ceases to be in qualified use prior to the end of its useful life, the difference between the credit taken and the total credit allowed for actual use must be added back to your tax on Form 1. Complete and enclose Schedule CRS, Credit Recapture Schedule.

Line 26. Additional Tax on Installment Sale

An addition to tax applies for taxpayers who have deferred the gain, and the tax associated with that gain, on certain installment sales. This addition to tax is measured by an interest charge on the tax that has been deferred.

Include in line 26 an additional tax amount representing an interest charge on the deferred tax on gain from certain installment sales with a sales price over $150,000 if you are not a dealer and the aggregate face amount of installment obligations arising during the tax year and outstanding as of the close of the tax year exceeds $5 million. For

more information see MGL ch 62C, § 32A (a) and IRC § 453A (a)–(c).

Also include in line 26 an additional tax amount representing an interest charge on the deferred gain from the installment sale of timeshares and residential lots, if the sale meets one of the following criteria:

- The sale is of a timeshare right for six weeks or less;
- The sale is for the recreational use of specified campgrounds; or
- The sale is for a residential lot and neither the dealer nor someone related to the dealer is obligated to make any improvements on the lot.

Note: If you have installment sales occurring between January 1, 1996 and December 31, 2002, you must complete and submit Schedule D-IS.

For more information see MGL ch 62C, § 32A (b) and IRC § 453(l)(2)(B).

If you are a partner in a partnership or a shareholder in an S corporation, the entity is required to send you the information you need to calculate the addition to tax under this provision.

To the extent practicable, Massachusetts follows federal income tax rules in determining the deferred gain from installment sales subject to the interest-charge addition to tax. For more information, visit DOR's website at mass.gov/dor and IRS Publication 537.

Massachusetts Adjusted Gross Income (AGI)

No Tax Status. Single, Married Filing a Joint Return or Head of Household Only

If your Massachusetts AGI was $8,000 or less if single, $14,400 or less plus $1,000 per dependent if head of household, or $16,400 or less plus $1,000 per dependent if married filing a joint return, you qualify for No Tax Status and are not required to pay any Massachusetts income taxes.

Limited Income Credit. Single, Married Filing a Joint Return or Head of Household Only

If you do not qualify for No Tax Status, but you are single and your Massachusetts AGI is between $8,000 and $14,000, or if you are filing as head of household and your Massachusetts AGI is between $14,400 and $25,200 plus $1,750 per dependent, or if you are married filing a joint return and your Massachusetts AGI is between $16,400 and $28,700 plus $1,750 per dependent, you may qualify for the Limited Income Credit. This credit is an alternative tax calculation that can result in a significant tax reduction for people whose income is close to the No Tax Status threshold.

Massachusetts AGI

Massachusetts AGI is not the same as taxable income. Massachusetts AGI includes:

- Wages, salaries, tips;
- Taxable pensions and annuities;
- Pension income from another state or political subdivision before any deduction;
- Taxable IRA/Keogh and Roth IRA distributions;
- Fees and unemployment compensation;
- Income or loss from a business or profession;
- Income or loss from partnerships, S corporations and trusts;
- Rents, royalties and REMIC income;
- Taxable alimony and other 5.0% income;
- Interest from Massachusetts banks; and
- Other interest, dividends, and capital gains.

Complete the Form 1, Line 27 Massachusetts AGI Worksheet to see if you may qualify for the College Tuition Deduction (Schedule Y, line 11), No Tax Status or the Limited Income Credit.

Form 1, Line 27 Massachusetts AGI Worksheet. No Tax Status (Only If Single, Head of Household or Married Filing Jointly)

1. *Enter your total 5.0% income from Form 1, line 10. Not less than 0. (Add back any Abandoned Building Renovation deduction claimed on Schedule(s) C and/or E before entering an amount in line 1.)* . . . [ ]

2. *Add Schedule Y, lines 2 through 9b and line 10* . . . . . [ ]

3. *Subtract line 2 from line 1. Not less than 0.* . . . . . [ ]

4. *Reserved* . . . . . [ ]

5. *Enter amount from Schedule B, line 35. If there is no entry in Schedule B, line 35 or if not filing Schedule B, enter the amount from Form 1, line 20.* . . . . . [ ]

6. *Enter the amount from Schedule D, line 19. Not less than 0. (If filing Schedule D-IS, Installment Sales, see the Schedule D-IS instructions, available at mass.gov/dor, for the amount to enter in line 6.)* . . . . . [ ]

7. *Add lines 3 through 6* . . . . . [ ]

If you are **single** and the total in line 7 is $8,000 or less, you qualify for No Tax Status. See line 27 instructions below. If you are single but do not qualify for No Tax Status, complete Form 1, line 28 and see Form 1, line 29 instructions for the Limited Income Credit.

If **married and filing a joint return** and line 7 is less than or equal to the following amounts, you qualify for No Tax Status. See line 27 instructions below. If you do not qualify for NTS complete Form 1, line 28 and see Form 1, line 29 instructions for the Limited Income Credit.

- $16,400 with 0 dependents;
- 17,400 with 1 dependent;
- 18,400 with 2 dependents;
- 19,400 with 3 dependents;
- 20,400 with 4 dependents;
- 21,400 with 5 dependents;
- 22,400 with 6 dependents.

If the number of dependents is more than 6, add $1,000 per additional dependent.

If **Head of Household** and line 7 is less than or equal to the amounts listed below, you qualify for No Tax Status. See line 27 instructions below. If you do not qualify for No Tax Status, complete Form 1, line 28 and see Form 1, line 29 instructions for the Limited Income Credit.

- $14,400 with 0 dependents;
- 15,400 with 1 dependent;
- 16,400 with 2 dependents;
- 17,400 with 3 dependents;
- 18,400 with 4 dependents;
- 19,400 with 5 dependents;
- 20,400 with 6 dependents.

If the number of dependents is more than 6, add $1,000 per additional dependent.

Line 27. No Tax Status

If you qualify for No Tax Status, fill in the oval in line 27, enter 0 in line 28 and omit lines 29 through 31. Also, enter 0 in line 32 and complete Form 1. However, if there is an amount entered in line 25, Credit Recapture Amount and/or line 26, Additional Tax on Installment Sale, enter that amount in line 28 and complete line 31.

Note: If married filing separately, you do not qualify for No Tax Status.

Line 28. Total Tax

Line 28a. Income Tax

Add lines 22 through 26 and enter the total in line 28a.

Line 28b. 4% Surtax

Enter in line 28b the amount from line 7 of the Schedule 4% Surtax.

The 4% surtax applies to Massachusetts residents on the portion of their annual taxable income ex-

ceeding $1,083,150 and to non-residents on the portion of their annual taxable income sourced to Massachusetts that exceeds $1,083,150.

Line 28

Add lines 28a and 28b , enter the total in line 28.

Line 29. Limited Income Credit

If **single** and line 7 of the line 27 Mass AGI worksheet is $14,000 or less you may qualify for the Limited Income Credit. Complete the Form 1, line 29 worksheet to see if you may qualify for the Limited Income Credit. If **married and filing a joint return** and line 7 of the LIne 27 Massachusetts AGI worksheet is less than or equal to the following amounts, you may qualify for the Limited Income Credit. Complete the Form 1, line 29 worksheet to see if you may qualify for the Limited Income Credit.

- $28,700 with 0 dependents;
- 30,450 with 1 dependents;
- 32,200 with 2 dependents;
- 33,950 with 3 dependents;
- 35,700 with 4 dependents;
- 37,450 with 5 dependents;
- 39,200 with 6 dependents.

If the number of dependents is more than 6, add $1,750 per additional dependent.

If **Head of Household** and line 7 of the Line 27 Massachusetts AGI worksheet is less than or equal to the following amounts, you may qualify for the Limited Income Credit. Complete the Form 1, Line 29 worksheet to see if you may qualify for the Limited Income Credit.

- $25,200 with 0 dependents;
- 26,950 with 1 dependent;
- 28,700 with 2 dependents;
- 30,450 with 3 dependents;
- 32,200 with 4 dependents;
- 33,950 with 5 dependents;
- 35,700 with 6 dependents.

If the number of dependents is more than 6, add $1,750 per additional dependent.

Form 1, Line 29 Worksheet. Limited Income Credit (Only if Single, Head of Household, or Married Filing Jointly)

1. *Enter amount from line 7 of Massachusetts AGI Worksheet. . . . . .* [ ]

2. *Enter $8,000 if single. If married and filing a joint return, multiply the number of dependents (from Form 1, line 2b) by $1,000 and add $16,400 to that amount. If head of household, multiply the number of dependents (from Form 1, line 2b) by $1,000 and add $14,400 to that amount and enter the result here . . . . . .* [ ]

3. *Subtract line 2 from line 1. . . . . .* [ ]

4. *Enter in line 4 the amount of tax from Form 1, line 28 less any Credit Recapture Amount entered in line 25 and/or Additional Tax on Installment Sales in line 26. .* [ ]

5. *Multiply line 3 by 10% (.10) . . . . . .* [ ]

6. *If line 4 is smaller than line 5, you are not eligible for this credit. Enter 0. If line 4 is larger than line 5, subtract line 5 from line 4 and enter result here and on Form 1, line 29 . . . . . .* [ ]

Line 30. Taxes Due Any Other State

If any of the income reported on this return is subject to taxation in another state or jurisdiction and you have filed a return and paid taxes in the other state or jurisdiction, complete the following worksheet and enter the amount of credit in line 30. Do not include taxes paid to the U.S. government. (This credit does not apply to city or local taxes.) You are allowed to claim a credit for taxes due to the following jurisdictions:

- Other states in the U.S., including payments made under the Rhode Island Temporary Disability Insurance Act (see DOR Directive (DD) 12-1);
- Any territory or dependency of the U.S. (including Puerto Rico, the Virgin Islands, Guam, the District of Columbia); or
- The Dominion of Canada or any of its provinces (less any U.S. credit amount allowable from U.S. Form 1116).

The total credit that you calculate on the worksheet is the smaller of the amount of taxes due to other jurisdictions (net of certain adjustments) or the portion of your Massachusetts tax due on your gross income that is taxed in such other jurisdictions.

Credit is not given for a property tax due to another jurisdiction on account of capital stock or property. This does not refer to a tax on gain or income from the sale of capital stock or property, as included on Schedule B or Schedule D. Credit is also not given for any interest and penalties paid on a tax due to another jurisdiction.

Note: For questions on the Pass-through Entity Tax credit and its effect on this credit, refer to DOR Directive 19-1.

For residents that are subject to the 4% surtax and that paid tax in another jurisdiction, complete the online Schedule OJC worksheet(s).

You must complete separate worksheets if you had 5.0% income and interest income (other than interest from Massachusetts banks), dividends or capital gain income taxed by another jurisdiction. If you use this worksheet to calculate a credit for interest income (other than interest from Massachusetts banks), dividends or capital gain income, substitute interest income (other than interest from Massachusetts banks), dividends or capital gain income for 5.0% income in line 1 of the worksheet. You must also substitute Schedule B, line 7 (interest and dividend income) and Schedule B, line 13c (taxable 8.5% and 12% capital gains) or Schedule D, line 13, (gross long-term capital gains and losses), but not less than 0, for Form 1, line 10 in line 2 of the worksheet, and the total of Form 1, line 20 multiplied by 0.05 (tax on interest and dividend income) and Form 1, line 23 (8.5% and 12% tax) or line 24 (tax on long-term capital gains) for Form 1, line 19 in line 4 of the worksheet.

If completing multiple worksheets, the amount calculated as an Other Jurisdiction Credit on each worksheet should be combined for the total allowable Other Jurisdiction Credit. Online worksheets are available at mass.gov/dor.

When using the worksheet to calculate credit for interest income (other than interest from Massachusetts banks), dividends or capital gain income, enter in line 1 such income taxed in another jurisdiction calculated as if it was earned in Massachusetts.

If you choose to pay the optional 5.85% tax rate, substitute 0.0585 for 0.05 in line 4 of the worksheet.

Note: Be sure to complete and enclose Schedule OJC, Income Tax Due to Other Jurisdictions, and enter the two-letter state or jurisdictional postal code for each state or jurisdiction for which you are taking the credit. Taxpayers from a territory or dependency of the U.S., or the Dominion of Canada or any of its provinces, must enter "FC" as the postal code.

Form 1, Line 30 Worksheet for Taxes Due Any Other State

1. *Enter the total 5.0% income included in Form 1, line 10 subject to income tax in another jurisdiction . . . . . .* [ ]

2. *Enter the total of Form 1, line 10. . . . . .* [ ]

3. *Divide line 1 by line 2. Not greater than 1. . . . . .* [ ]

4. *Multiply Form 1, line 19 by 0.05. . . . . .* [ ]

5. *Enter any Limited Income Credit from Form 1, line 29. . . . . .* [ ]

6. *Subtract line 5 from line 4. . . . . .* [ ]

7. *Multiply line 6 by line 3. . . . .* [ ]

continue on next page ...

8. *Enter the amount of tax due to another jurisdiction on income also reported on this return before credits and payments. This includes payments made under the Rhode Island Temporary Disability Insurance Act, if applicable. If you are claiming a credit for tax due to Canada or a Province of Canada, the amount reported on this line must be reduced by the amount claimed as a foreign tax credit on U.S. Form 1040, Schedule 3, line 1. . . . . .* [ ]

9. *Enter the smaller of lines 7 or 8 here and on Form 1, line 30. . . . . .* [ ]

Line 31. Other Credits (from Schedule CMS)

Enter the total from Schedule CMS, Credit Manager Schedule. Be sure to enclose Schedule CMS with your return. Failure to do so will delay the processing of your return or result in the credit being adjusted or disallowed.

Line 33. Voluntary Contributions

You may contribute any amount you choose to the following funds. Remember, these amounts are added to your tax. They increase the amount of your payment or reduce the amount of your refund.

a. Endangered Wildlife Conservation. The Natural Heritage and Endangered Species Fund is administered by the Division of Fisheries and Wildlife. Contributions are used to protect and restore rare and endangered wildlife and plants, and their habitats. This fund has helped restore and conserve in the Commonwealth populations of the Bald Eagle, Hessel's Hairstreak Butterfly, the Redbelly Turtle and the Plymouth Gentian.

b. Organ Transplant Fund. The Organ Transplant Fund is administered by the Massachusetts Department of Public Health. All contributions received by the Fund assist patients with the costs of medications without which they might lose their transplanted organs. For information on how to become an organ donor, visit the Registry of Motor Vehicle's website at mass.gov/rmv.

c. Massachusetts Public Health HIV and Hepatitis Fund. The Massachusetts Public Health HIV and Hepatitis Fund is administered by the Massachusetts Department of Public Health. Contributions are used for research, experimental treatment and education related to Acquired Immune Deficiency Syndrome (AIDS). Massachusetts residents living with AIDS receive experimental treatment through clinical trials which are wholly supported with this Fund. The Fund also educates people with AIDS about treatment options and how to gain access to medication and experimental treatment.

d. Massachusetts United States Olympic Fund. Contributions to this fund are used to assist Massachusetts residents in paying all or part of any costs associated with the development, maintenance and operation of the United States Olympic Team participating in the Olympics and the United States Paralympic Team participating in the Paralympics.

e. Massachusetts Military Family Relief Fund. The Massachusetts Military Family Relief Fund Is administered by the Friends of Massachusetts National Guard and Reserve Families. Contributions to this fund are used to help members of the Massachusetts National Guard and Massachusetts residents who are members of the reserves of the armed forces of the United States and who have been called to active duty after the September 11, 2001 terrorist attacks, and their families, to defray the costs of food, housing, utilities, medical services, and other expenses.

f. Homeless Animal Prevention and Care Fund. The Homeless Animal Prevention and Care Fund is administered by the Department of Agricultural Resources. Contributions will help animals by reducing the number of homeless cats and dogs by spaying, neutering and vaccinating animals in shelters and animal control facilities and assisting families who would not otherwise be able to afford these services for their pets. The Fund also provides training to municipal animal control officers so that they can safely and effectively protect animals and people in their communities.

Line 34. Massachusetts Use Tax Due On Internet, Mail Order and Other Out-of-State Purchases Made in 2025

If you purchased taxable tangible personal property out of state, over the Internet or from a catalog and did not pay Massachusetts sales tax at purchase, a Massachusetts use tax is due. If an item is exempt from sales tax (such as food, or clothing that costs $175 or less), it is exempt from use tax.

If you paid a sales or use tax to another state or territory of the United States when purchasing this item, you are generally entitled to a credit against the Massachusetts use tax, up to 6.25%. See TIR 03-1 for more information. No credit is allowed for a value-added tax (VAT) paid to another country.

The following are items that are often purchased without paying sales tax. Residents owe use tax based on the purchase price.

- Electronics
- Appliances
- Furniture
- Jewelry
- Books
- Artwork
- Software
- Computers
- CDs and DVDs
- Video games
- Carpet
- Antiques

For example:
You purchased several DVDs on the Internet for $100 and paid no sales tax. Your use tax liability to Massachusetts on these items is $6.25 ($100 x .0625 = $6.25).

You purchased a computer for $1,550 from a seller located outside of Massachusetts and paid no sales tax. Your use tax liability to Massachusetts on this item is $96.88 ($1,550 x .0625 = $96.88).

Taxpayers may choose the safe-harbor option for purchases of individual items each having a total sales price of less than $1,000. The safe-harbor provision makes it easier to comply with the use tax law by allowing taxpayers to self-report an estimated amount of use tax based on the average amount of online and/or out of state purchases a taxpayer in their income bracket would likely make during the year. Taxpayers do not need to keep receipts with safe-harbor reporting and will not be assessed additional use tax if audited, even if the actual amount of use tax due is greater than the safe-harbor amount reported.

*Mass AGI per return**	*Use tax liability*
$ 0 – $ 25,000	*$ 0*
25,001 – 40,000	*20*
40,001 – 60,000	*31*
60,001 – 80,000	*44*
80,001 – 100,000	*56*

If the Massachusetts AGI per return* is more than $100,000, multiply by .000625.

*From line 7 of Massachusetts AGI worksheet.

If you did not purchase any items with a total sales price of $1,000 or more, you may enter the safe-harbor amount from the table above directly on Form 1, line 34.

Complete the following Form 1, line 34 Worksheet to calculate your use tax if you are not reporting a safe-harbor amount or if you purchased any individual items with a sales price of $1,000 or more. If you did purchase items with a sales price over $1,000 and you are reporting a safe-harbor amount, add the amount from the worksheet line 4 to the safe-harbor amount.

Form 1, Line 34 Worksheet. Use Tax Due on Internet, Mail Order and Other Out-of-State Purchases

1. *Total of purchases in 2025 subject to Massachusetts use tax . . . . . .* [ ]

2. *Use tax. Multiply line 1 by .0625 (6.25%) . . . . . .* [ ]

3. *Credit for sales/use tax paid to other states or jurisdictions. Add the amount of any sales/use tax paid to another state or jurisdiction, or 6.25% of the sales price, whichever is less, on each purchase reported in line 1.* [ ]

4. *Total amount due. Subtract line 3 from line 2. Not less than 0. Enter here and on Form 1, line 34 . . . .* [ ]

Line 35. Health Care Penalty

If you are subject to the Health Care Penalty for 2025 and are not appealing the application of the penalty, enter the penalty amount from line 8 of the Health Care Penalty Worksheet in line 35a for you and/or line 35b for your spouse.

If married filing a joint return and both you and your spouse are subject to the penalty, separate Health Care Penalty Worksheets must be filled out to calculate the separate penalty amounts for you and your spouse, using your married filing jointly income.

A taxpayer who does not have health insurance that meets the Massachusetts standard of minimum creditable coverage may be subject to a Massachusetts penalty.

Enter the total of lines 35a and 35b in line 35, but not less than 0.

Be sure to enclose Schedule HC with your return. Failure to do so will delay the processing of your return.

Line 36. Overpayment from Original Return (amended return only)

Include the amount listed on line 52 of your original return.

Line 38a. Massachusetts Income Tax Withheld from Form(s) W-2

Add the amounts shown as Massachusetts income tax withheld on your Form(s) W-2. Enter the total on line 38a. The amount withheld should be shown in box 17 of Form W-2. Enclose your Form(s) W-2 with your return.

Line 38b. Massachusetts Income Tax Withheld from Form(s) 1099

Include on line 38b any Massachusetts income tax withheld from line 5 of Schedule 62-WH, Part 1: Withholding from Form(s) 1099, Form(s) LOA, or Form(s) PWH-WA.

Enclose Schedule 62-WH, Form(s) 1099, Form(s) LOA, and Form(s) PWH-WA with your return if Massachusetts income tax was withheld, failure to do so may delay the processing of your return.

If you received a Form 1099 showing Massachusetts income tax withheld on retirement income, dividends, taxable or tax-exempt interest income, unemployment compensation, or other income you received, include the amount withheld in the total on line 38b.

Line 38c. Massachusetts Income Tax Withheld from Other Forms

Include on line 38c any Massachusetts income tax withheld from line 5 of Schedule 62-WH, Part 2: Withholding from Form(s) W-2G, 2G, or Massachusetts K-1 Schedule(s) (2K-1, 3K-1, or SK-1).

Enclose Schedule 62-WH, W-2G, 2G, or Massachusetts Schedule K-1s with your return if Massachusetts income tax was withheld, failure to do so may delay the processing of your return.

Line 39. 2024 Overpayment Applied to Your 2025 Estimated Tax

Include the exact amount of any 2024 overpayment you applied to your 2025 estimated taxes from your 2024 Massachusetts Form 1, line 52 or Form 1-NR/PY, line 56. Do not include any 2024 refund in this line.

Line 40. 2025 Massachusetts Estimated Tax Payments

If you paid Massachusetts estimated income tax for 2025, enter in line 40 the total of all Massachusetts estimated tax payments. Be sure to include any last quarter (of 2025) payment made on or before January 15, 2026. Do not include any 2024 overpayment applied to your 2025 estimated tax. Every resident who expects to pay more than $400 in Massachusetts income tax on income which is not covered by Massachusetts withholding must pay Massachusetts estimated taxes. Estimated tax payments can be made online by using MassTaxConnect by visiting mass.gov/dor or by filing Massachusetts Form 1-ES.

Income that is not subject to withholding includes:

- Salaries and wages where the employer is not subject to Massachusetts withholding;
- Dividends and interest, including interest from Massachusetts banks;
- Gains from capital assets;
- Income from an individual trade, business or profession;
- Income from any estate or trust not taxed directly;
- Certain pensions;
- Taxable Keogh or IRA distributions (only if you elected not to have federal withholding);
- Rental, royalty or REMIC income;
- Unemployment compensation (from which no Massachusetts income tax was withheld);
- Taxable alimony received;
- Distributions from SIMPLE accounts;
- Illegal income; and
- Any other income received while a Massachusetts resident from which Massachusetts tax will not be withheld.

Generally, the first payment must be filed on or before April 15 of the taxable year. The estimated tax may be paid in full with the first payment or in four installments on or before April 15, June 15, September 15 of the current taxable year and January 15 of the following year.

You may verify estimated tax payments that have already been made through your MassTaxConnect account. If you don't have a MassTaxConnect account, you can sign up at mass.gov/masstaxconnect.

You may request that your employer withhold additional amounts from your salary on Form M-4, Massachusetts Employee's Withholding Exemption Certificate to cover the taxes on other income so that you do not have to file and pay estimated taxes.

If 80% of the tax is not paid throughout the year through withholding and/or estimated payments, a penalty may be imposed.

Line 41. Payments Made with Extension

If you filed Massachusetts Form M-4868, Application for Automatic Six-Month Extension of Time to File Massachusetts Income Tax Return, or made an electronic extension payment for 2025 on or before April 15, 2026, enter in line 41 the amount you paid with Massachusetts Form M-4868.

Line 42. Payments Made with Original Return (amended return only)

Use this line only if you are amending the original return. Enter in line 42 the amount of tax you paid with the original return from line 55, "Tax Due." If estimated tax payments were made on the original return, they should be reflected on line 40, as on the original return. Select the appropriate Amended return oval on page 1. Complete the entire return, correct the appropriate line(s) with the new information and recompute the tax liability. On an enclosed sheet, explain the reason for the amendment(s) and identify the line(s) and amount(s) being changed on the amended return. Mail the amended return to Massachusetts Department of Revenue, PO Box 7000, Boston, MA 02204. If you owe additional tax, mail the amended return to Massachusetts Department of Revenue, PO Box 7003, Boston, MA 02204.

Line 43. Earned Income Credit

The Earned Income Credit (EIC) is a tax credit for certain taxpayers who work and have earned income under $68,675 (maximum amount may be lower depending on filing status and number of eligible children). Taxpayers who qualify for and claim the federal EIC are allowed a refundable credit equal to 40% of the federal amount. If the credit due the taxpayer exceeds the amount of the total income tax payable for the year by the taxpayer, the excess amount of the credit will be refunded to the taxpayer without interest. You must enter the number of qualifying children, if any, in line 43a. Then, enter in line 43b the federal EIC amount from your U.S. Form 1040, line 27a. Multiply this amount by 0.40 (40%) and enter the result in line 43. Be sure to fill out Schedule DI, Dependent Information, if you are claiming this

below to determine if you have any excess PFML contributions.

Self-employed individuals that opt in to PFML: If you are a self-employed individual that has opted to participate in the PFML program, your required PFML contributions are based on your net earnings from self-employment. You may complete the worksheet below to determine if you have any excess PFML contributions.

Joint returns: The maximum PFML contribution amount applies on an individual basis. If filing a joint return, figure the amount of excess PFML withholding separately for each spouse and enter the combined total.

For more information about the PFML program, including how PFML contributions are calculated, see the Department of Family and Medical Leave's (DFML) regulation at 458 CMR 2.00, and DFML's website at mass.gov.

Line 49. Excess Paid Family and Medical Leave Contributions Worksheet

If you are eligible to claim a credit for excess PFML contributions, enter in line 49 the amount of excess PFML contributions as determined by completing the below worksheet.

1. *Enter your income as shown on your combined Form W-2s. If greater than* **$176,100**, *then enter* **$176,100** . . . . . .

2. *W-2 PFML contribution amount. Multiply line 1 by 0.0046* . . . . . .

3. *Enter the lesser of your 1099-MISC worker net income or (***$176,100** *- line 1). If you have a loss, enter 0* . . . . . .

4. *1099-MISC PFML contribution amount. Multiply line 3 by 0.0046* . . . . . .

5. *Enter the lesser of your self-employed opt-in net income or (***$176,100***- (line 1 + line 3)). If you have a loss, enter 0.* . . . . . .

6. *Self-employed opt-in PFML contribution amount. Multiply line 5 by 0.0088* . . . . . .

7. *Total combined PFML contribution amount. Add lines 2, 4 and 6.* . . . . . .

8. *Combine actual amounts of PFML contributions shown as withheld on Forms W-2, 1099-MISC and all amounts actually contributed by a self-employed individual that opted in (No single employer can exceed the maximum PFML contribution amount)* . . . . . .

9. *Excess PFML Contributions withheld. If line 8 is equal to or less than line 7, enter zero in line 9. If line 8 is greater than line 7, subtract line 7 from line 8 and enter difference in line 9* . . . . . .

Enter total in line 9 on line 49 of Form 1.

**If filing a joint return add the amounts on line 9 from each spouse's worksheet and enter the total, in whole dollars only, on line 49 of Form 1.*

Line 50. Nonresident Withholding on Sales of Massachusetts Real Estate

Include on line 50 any Massachusetts income tax withheld from line 5 of Schedule 62-WH, Part 3: Withholding from Form(s) NRW (Nonresident Real Estate withholding). Enclose Schedule 62-WH and Form(s) NRW with your return if Massachusetts income tax was withheld, failure to do so may delay the processing of your return.

Refund Amount

Line 53. Amount of Overpayment You Want Applied to Your 2026 Massachusetts Estimated Tax

Enter the amount of your 2025 overpayment that you wish to apply to your 2026 Massachusetts estimated tax. Once an election is made to apply your overpayment to your 2026 estimated tax, it cannot be refunded after the due date of the return or applied to any additional tax you may owe for 2025, including any tax due on an amended return. The amount entered in this line can only be claimed as a credit on your 2026 Massachusetts return.

Note: This amount cannot be changed on an amended return.

Line 54. Refund Amount

Subtract line 53 from line 52. Enter the result in line 54. This is the amount of your refund.

Note: Your state tax refund may be taxable on your federal tax return if you deducted state income tax paid as an itemized deduction on U.S. Schedule A.

You may elect to have your refund deposited directly into your savings or checking account. Check with your financial institution to make sure that it accepts direct deposit and verify the routing transit number (RTN) of the issuing financial institution. If we are unable to honor your request for a direct deposit, a paper check will be sent to you.

The routing number of your financial institution is nine digits and begins with 01 through 12 or 21 through 32. The account number can be up to 17 characters (both numbers and letters). Omit hyphens, spaces and special symbols. Enter the number from left to right and leave any unused boxes blank. You must enter the routing number and the account number in the spaces provided in line 54 if you are requesting direct deposit. Failure to do so will result in your request for direct deposit being denied.

Tax Due

Line 55. Tax Due

If line 37 is larger than line 51, subtract line 51 from line 37, and enter the result in line 55. This is the amount of tax you owe with your return. Pay in full with your return. Go to mass.gov/masstaxconnect for online payment options. If you need to mail your payment, make your check or money order payable to the Commonwealth of Massachusetts and write your Social Security number on the front of your check or money order in the lower left corner. Enclose the check with your return. Be sure to use the light blue mailing label when mailing your Form 1.

Failure to file or failure to pay the proper amount of tax when due will result in an increasing amount of interest and penalties. It is to your advantage to file when your return is due, whether or not you are able to make full payment.

If you owe any interest, penalty or addition for the underpayment of estimated tax, add those amounts to the tax you owe when making your payment.

What Are Interest and Penalties?

Interest. If you fail to pay the tax when due, interest will be charged. For an explanation of how interest is compounded in Massachusetts, see TIR 92-6, available at mass.gov/dor.

Penalty for late payment. The penalty for late payment is 1% per month (or fraction thereof) of the tax due, up to a maximum of 25%.

Penalty for failure to file. The penalty for failure to file a tax return by the due date is 1% per month (or fraction thereof) of the tax due, up to a maximum of 25%. If you were required to file a tax return for income received in any prior year and you did not file, you must file for that prior year.

Penalty for protested ("bad") payment. If your payment is not honored by your bank because of insufficient funds or any other reason, a penalty may be added of $30 or the amount of the payment, whichever is less.

Addition for underpayment of estimated tax. You will generally be subject to this addition to tax if you did not have withholding and/or estimated payments equal to 80% of the total tax liability required to be paid and your 2025 tax due after credits and withholding is greater than $400. The 80% requirement is reduced to 66.67% for individuals who receive two-thirds of their income from fishing or farming. If you failed to meet these requirements, you must complete and enclose Massa-

delay the processing of your return. You must complete the information for each dependent.

In the spaces provided enter the name, Social Security number, date of birth and the relationship of the dependent to you (son, daughter, mother, father, etc.). Also, if the dependent is a qualifying child for the Earned Income Credit, fill in the oval. If you are claiming more than 10 dependents, enclose a statement listing the name, Social Security number, date of birth and the relationship of the dependent to you and if the dependent is a qualifying child for the Earned Income Credit.

Schedule X

Other Income

Be sure to enclose with Form 1.

Line 1. Taxable Alimony Received

Enter in Schedule X, line 1 the total amount of taxable alimony and separate maintenance received as reported on U.S. Form 1040, Schedule 1, line 2a.

Note: Payments specified as child support are not taxable.

Line 2. Taxable IRA/Keogh, Qualified Charitable IRA Distributions and Roth IRA Conversion Distributions

Complete the Schedule X, Line 2 Worksheet to calculate the taxable portion of any amount you received from an Individual Retirement Account (IRA), Keogh, qualified charitable IRA distribution or Roth IRA conversion distribution. Since Massachusetts does not allow a deduction for amounts originally contributed to an IRA or Keogh, the distributions are not taxable until the full amount of your contributions which were previously subject to Massachusetts taxes are recovered.

Contributions made to Keogh accounts prior to 1975 were deductible when made. Therefore, no deduction may be taken from a Keogh distribution for amounts contributed before 1975.

Note: Contributions from a deferred plan, such as a 401(k), that were rolled over into an IRA are not considered previously taxed contributions and are fully taxable upon distribution.

Schedule X, Line 2 Worksheet. Taxable IRA/Keogh Plan, Qualified Charitable IRA Distributions and Roth IRA Conversion Distributions

1. *Total IRA/Keogh plan distributions, qualified charitable IRA distributions, Roth IRA conversion distributions received during 2025* . . . . . .

2. *Total contributions previously taxed by Massachusetts* . . . . . .

3. *Total distributions received in previous years* . . . . . .

4. *Subtract line 3 from line 2. If line 3 is larger than line 2, enter 0.* . . . . . .

5. *Subtract line 4 from line 1 and enter the result here. Not less than 0* . . . . . .

6. *Total qualified charitable IRA distributions in 2025 included in line 1* . . . . . .

7. *Taxable IRA/Keogh distributions or Roth IRA conversion distributions. Subtract line 6 from line 5. Enter the result here and in Schedule X, line 2. Not less than 0* . . . . . .

Note: *You must complete separate worksheets if married filing a joint return and both you and your spouse received IRA/Keogh Plan, qualified charitable IRA distributions, and/or Roth IRA conversion distributions.*

Line 3. Other Gambling Winnings

Enter in Schedule X, line 3 all sports wagering winnings and all gambling winnings from casinos, raffles, races, beano or other events of chance, wherever held, and winnings from non-Massachusetts lotteries. Do not enter less than 0. You may only deduct the price of the winning ticket. Certain sports wagering and all gambling losses are now deductible under Massachusetts law. See Schedule Y, line 17 and TIR 15-14 for more information.

Note: Do not report Massachusetts state lottery winnings in Schedule X, line 3. Instead, report them on Form 1, line 8b.

Line 4. Fees and Other 5.0% Income

The following items should be reported on line 4 of Schedule X. Do not enter less than 0. Enclose additional statements if more space is needed.

- All fee income, such as payments for jury duty, election worker payments, director's fees, compensation received as executor or administrator of an estate, and commission income or tips not reported in line 3 of Form 1 are taxable. Also, report all bartering income not reported on Schedule C (the fair market value of goods or services received in payment for your services).
- All prizes and awards won in a quiz program, drawing, beauty contest, etc. are taxable at fair market value. Awards and bonuses received from your employer for performance of services not part of a qualified award plan are also taxable.
- Forgiveness of debt and mortgage forgiveness.
- Other Massachusetts 5.0% income reported on U.S. Form 1040, Schedule 1, line 9 and not reported elsewhere in Form 1, lines 3 through 8 or Schedule X, lines 1 through 3 must be reported in line 4 of Schedule X.

Note: Do not include U.S. Shareholders IRC § 965(a) inclusion amounts that are included in the U.S. Form 1040, Schedule 1, line 9 in line 4 of Schedule X. These amounts are included in Schedule B, see Schedule FCI for additional details and instructions.

- Pre-1996 installment sales classified as ordinary income for Massachusetts purposes (from Massachusetts Schedule D, line 10) are taxed as 5.0% income and must be reported on line 4 of Schedule X.
- Embezzled or other income from illegal activities is taxable and should be reported on Schedule X, line 4.
- Any benefits paid to you by a union as strike or lockout benefits to the extent included on U.S. Form 1040, line 1h.

The following items should not be reported on your Massachusetts return:

- Any net operating loss reported as a negative amount on U.S. Form 1040, Schedule 1, line 9 cannot be entered on Schedule X. A net operating loss from a business or profession cannot be carried forward or backward to offset individual income in any other year under Massachusetts law.
- Refunds of U.S. and Massachusetts income taxes are not considered income under Massachusetts law. If you received interest on refunds, report such interest on Massachusetts Schedule B.

Line 5. PFML Taxable Distributions

Enter in Schedule X, line 5 all income received from the Department of Family and Medical Leave. The amount should be in box 1 of the 1099-G issued to you by the Commonwealth Of Massachusetts, MA Department of Family and Medical Leave.

Line 6. Excess Business Loss Adjustment

For tax year 2025, taxpayers must report on Schedule X, line 6 any excess business loss (EBL) stated on U.S. Form 1040, Schedule 1, line 8p. Generally, EBL is the amount by which the total deductions attributable to a taxpayer's trades or businesses exceed the sum of (i) the taxpayer's total gross income and gains attributable to those trades or businesses and (ii) a threshold amount of $313,000 for single filers and $626,000 for joint returns. Differences between Massachusetts and federal income and deductions (e.g., bonus depreciation) should be taken into account by adjusting the amount reported on Massachusetts Schedule X, line 6. Explain any difference between amounts reported on Massachusetts Schedule X, line 6, and on U.S. Schedule 1, line 8p, using Massachusetts Schedule TDS. Unlike on federal returns, you may not carry forward disallowed EBL because those losses are treated, for federal purposes, as net op-

Line 10. Student Loan Interest Deduction

Enter the amount from U.S. Form 1040, Schedule 1, line 21, not to exceed $2,500. This deduction is only allowed if not claiming the same expenses in line 12 of Schedule Y, Undergraduate Student Loan Interest Deduction.

Line 11. College Tuition Deduction

A deduction is allowed for tuition payments paid by you, for yourself or a dependent, to a qualifying two- or four-year college leading to an undergraduate or associate's degree, diploma or certificate. **Tuition payments for students pursuing graduate degrees at such a college or university are not eligible for the college tuition deduction.** The deduction is equal to the amount by which the tuition payments, less any scholarships, grants or financial aid received, exceed 25% of Massachusetts AGI. The amount of the college tuition deduction is limited to qualified tuition expenses paid during a taxable year in connection with an academic term beginning during such taxable year or during the first three months of the next taxable year.

Qualified tuition expenses include only those expenses designated as tuition or mandatory fees required for the enrollment or attendance of the taxpayer or any dependent of the taxpayer at an eligible educational institution. No deduction is allowed for any amount paid for room and board, books, supplies, equipment, personal living expenses, meals, lodging, travel or research, athletic fees, insurance expenses or other expenses unrelated to an individual's academic course of instruction. Also, no deduction is allowed for reimbursements or refunds of qualified tuition and related expenses made by an insurer. Complete the Massachusetts AGI Worksheet and the Schedule Y, line 11 worksheet to see if you may qualify for this deduction. This deduction is only available to full year residents. See TIRs 97-13 and 16-15 for more information.

Schedule Y, Line 11 Worksheet. College Tuition Deduction

1. *Enter total tuition payments paid by you, for yourself or a dependent, to a qualifying two- or four-year college in 2025* . . . . . .

2. *Enter amount of scholarships, grants or financial aid received in 2025 for amounts shown in line 1* . . . . . .

3. *Enter amount of reimbursements or refunds received in 2025 of amounts shown in line 1 reported by an insurer (from U.S. Form 1098-T, box 10)* . . . . .

4. *Subtract lines 2 and 3 from line 1. If 0 or less, you do not qualify for this deduction* . . . . . .

5. *Enter amount from line 7 of the Massachusetts AGI Worksheet* . . . . . .

6. *Multiply line 5 by .25* . . . . . .

7. *If line 4 is smaller than line 6, you are not eligible for this deduction. Enter 0. If line 4 is larger than line 6, subtract line 6 from line 4 and enter the result here and on Schedule Y, line 11* . . . . . .

Line 12. Undergraduate Student Loan Interest Deduction

A deduction is allowed for interest paid on a qualified undergraduate student loan. To be eligible for the deduction, the "education debt" must be a loan that is administered by the financial aid office of a two-year or four-year college at which you, or a qualified dependent, were enrolled as an undergraduate student. Additionally, the loan must have been secured through a state student loan program, a federal student loan program, or a commercial lender, and must have been spent solely for the purposes of paying tuition and other expenses directly related to the school enrollment. Enter the amount of such interest paid in Schedule Y, line 12. This deduction is only allowed if not claiming the same expenses in line 10 of Schedule Y, Student Loan Interest Deduction.

Line 13. Deductible Amount of Qualified Contributory Pension Income from Another State or Political Subdivision Included in Form 1, Line 4

Massachusetts allows a deduction for contributory pension income received from another state or one of its political subdivisions that does not tax such income from Massachusetts or its political subdivisions. For guidelines to determine which state's pensions are exempt in Massachusetts, see TIR 95-9. Enter any deductible amount of such income in line 13 of Schedule Y that was included in Form 1, line 4.

Line 14. Claim of Right Deduction

Taxpayers who have paid Massachusetts personal income taxes in a prior year on income attributed to them under a "claim of right" may deduct the amount of that income from their gross income if it later develops that they were not in fact entitled to the income, and have repaid the amounts in question. The deduction is allowed in the year of repayment, provided that the repayment is not otherwise deductible in determining Massachusetts income taxable under MGL ch 62. Some examples in which the claim of right may be applied for are

Stock under claim of ownership. Gains from sales of stock under a claim of ownership must be included, regardless of whether the taxpayer actually owned it

Employment contracts. Amounts in settlement of employment contracts must be included notwithstanding the prospect of eventual repayment to the employer of an amount equivalent to or greater than the amount received

Dividends. Where a taxpayer receives a dividend that must be repaid in a later year (e.g., because it impaired corporate capital), the dividend must be included in the year of receipt;

Corporate notes. Where a taxpayer receives a distribution with respect to holding of notes, the income must be included regardless of whether it could be challenged by senior creditors

Mistake in validity of claim. The claim of right doctrine applies where a taxpayer merely mistakes the validity of his claim

Advanced insurance commissions; or

Repayment of unemployment compensation and supplemental unemployment benefits in a subsequent year.

If you are entitled to claim this deduction, enter the amount claimed in Schedule Y, line 14. For more information, see TIR 06-4.

Line 15. Commuter Deduction

A deduction is allowed for certain amounts paid by an individual for tolls paid for through an E-Z Pass account or all MBTA fares, not just weekly or monthly transit commuter passes, and includes RTA fares, bikeshare memberships, bike purchases (including e-bikes), bike improvements/repair/storage, and fares on non-MBTA commuter boats that are owned, operated or contracted by a municipality or a public or quasi-public entity, agency or authority, not including amounts reimbursed or otherwise deductible.

In the case of a single person or a married person filing a separate return or as head of household, this deduction applies only to the portion of such expended amount that exceeds $150, and the total amount deducted cannot exceed $750. In the case of a married couple filing a joint return, this deduction applies only to the portion of such amount expended by each individual that exceeds $150, and the total amount deducted cannot exceed $750 for each individual. Also, one spouse cannot transfer his or her excess deduction to the other spouse; separate worksheets must be completed to calculate the deduction. See TIR 06-14 for additional information.

The deduction is allowed where an individual purchases an MBTA pass for a dependent who is claimed on that individual's tax return, provided the dependent does not also claim the deduction. However, the total amount deducted cannot exceed $750 for each individual taxpayer who is filing a return. In the case of married taxpayers filing a joint return, the total amount deducted cannot

exceed $750 per taxpayer; thus, the maximum deduction for a joint return is $1,500.

Complete the Schedule Y, Line 15 Worksheet to calculate the commuter deduction.

Schedule Y, Line 15 Worksheet. Commuter Deduction

1. *Enter amount paid in 2025 for tolls through an E-Z Pass account* . . . . . .

2. *Enter amount paid in 2025 for commuting costs. (Do not include amounts reimbursed or otherwise deductible)* . . . . . .

3. *Add lines 1 and 2. If $150 or less, you do not qualify for this deduction. Omit remainder of this worksheet. Otherwise, complete lines 4 through 6* . . . . . .

4. *Enter $150* . . . . . .

5. *Subtract line 4 from line 3*. . . . . .

6. *Enter the lesser of line 5 or $750 here and on Schedule Y, line 15* . . . . . .

Line 16. Deduction for Expenses of Human Organ Transplant

An individual may deduct certain expenses and other costs incurred in the process of donating an organ for a human organ transplant to another individual. For purposes of this deduction, "human organ" shall mean all or part of human bone marrow, liver, pancreas, kidney, intestine or lung. In the case of an individual who donates an organ to another person for human organ transplantation, the individual may deduct the following expenses that are incurred by the individual and related to the individual's organ donation:

- Travel expenses;
- Lodging expenses; and
- Lost wages not to exceed $10,000.

An individual who is a nonresident of Massachusetts for all or part of the taxable year is not eligible to claim this deduction. If you are entitled to claim this deduction, enter the amount claimed in Schedule Y, line 16. See TIR 11-6 for further information.

Line 17. Certain Gambling Losses

Massachusetts allows a deduction from 5.0% income for losses from wagering transactions that were incurred in a calendar year at a Massachusetts gaming establishment licensed in accordance with MGL ch 23K or a racing meeting licensee or simulcasting licensee, only to the extent of the gains from such transactions. See TIR 15-14 for more information. For tax years beginning on or after January 1, 2024, this deduction also includes losses from sports wagers that were incurred through a Massachusetts sports wagering operator licensed under MGL ch 23N.

A taxpayer may claim a deduction for qualifying sports wagering and gambling losses incurred in the calendar year from the above Massachusetts sources only if the taxpayer had sports wagering or gambling winnings in the same calendar year from any such Massachusetts source. The deduction allowed for such losses may not exceed the amount of such winnings included in gross income for the calendar year.

Because Massachusetts does not adopt the deductions under IRC § 165(d), the deduction for sports wagering and gambling losses set forth in MGL ch 62, § 3(B)(a)(18) is the only deduction for such losses allowed a Massachusetts taxpayer, unless the sports wagering and gambling activities of the taxpayer constitute a trade or business.

Example

For calendar year 2025, taxpayer, a Massachusetts resident, has:

- Gambling winnings of $500 from Massachusetts state lottery;
- Gambling winnings of $800 from a casino licensed under MGL ch 23K;
- Gambling winnings of $1200 from a Las Vegas casino;
- Sports wagering winnings of $500 from a sports wagering operator licensed under MGL ch 23N;
- Sports wagering winnings of $600 from a sports wagering operator in Las Vegas;
- Gambling losses of $1600 from a Las Vegas casino;
- Gambling losses of $510 from Massachusetts Lottery scratch tickets;
- Gambling losses of $1000 from a casino licensed under MGL ch 23K;
- Sports wagering losses of $700 from a sports wagering operator licensed under MGL ch 23N;
- Sports wagering losses of $200 from a sports wagering operator in Las Vegas.

For Massachusetts income tax purposes, the taxpayer must include $500 of their Massachusetts state lottery winnings on Form 1, line 8b and the remaining $3,100 of their gambling and sports wagering winnings on Schedule X, line 3. The taxpayer may claim a deduction for gambling losses from casinos licensed under ch 23K and for sports wagering losses from sports wagering operators licensed under MGL ch 23N but only to the extent of winnings from casinos licensed under ch 23K and sports wagering operators licensed under MGL ch 23N. No deduction is available for the taxpayer's gambling and sports wagering losses from other sources. The taxpayer had winnings of $800 and losses of $1,000 from casinos licensed under ch 23K. The taxpayer had winnings of $500 and losses of $700 from sports wagering operators licensed under MGL ch 23N. Thus, the taxpayer may claim a deduction of $1300, the extent of aggregate winnings from qualifying Massachusetts sources. The remaining $400 of loss from casinos licensed under ch 23K and sports wagering operators licensed under MGL ch 23N may not be deducted. Gambling losses from the Massachusetts state lottery are not deductible.

If you are entitled to claim this deduction, enter the qualified amount in Schedule Y, line 17.

Line 18a. Prepaid Tuition or College Savings Plan Deduction

A deduction is available for purchases of or contributions made to an account in a pre-paid tuition program or a college savings program established by the Commonwealth. The deduction is capped at $1,000 for a single person, married filing separate, or head of household and $2,000 for a married couple filing a joint return. The deduction is subject to recapture in the taxable year or years in which distributions or refunds are made from the tuition or college savings account for any reason other than:

- To pay qualified higher education expenses, as defined by IRC § 529(e)(3); or
- The beneficiary's death, disability or receipt of a scholarship.

Enter the allowable amount on Schedule Y, Line 18a. For more information, see TIR 16-15.

Line 18b. Student Loan Repayment Assistance Deduction

A deduction is available for employer-provided student loan repayment assistance to the extent not already excluded from federal gross income. Employer-provided student loan repayment assistance is the employer's payment of an employee's principal or interest on a qualified education loan, as defined in IRC § 221. Employees enter on line 18b the amount of such employer-provided student loan repayment assistance that exceeds $5,250.

Schedule B

Note: If showing a loss, be sure to mark over the X in the box to the left. Also, be sure to enclose with Form 1.

Interest, Dividends and Certain Capital Gains and Losses

You must file Massachusetts Schedule B if you had:

- Dividend income;
- Any interest income other than from Massachusetts banks taxed at 5.0%;

- Short-term capital gains taxed directly to Massachusetts estates and trusts (reportable on a Massachusetts Fiduciary Return, Form 2);
- Upon the sale of stock of an S corporation, the federal basis must be modified according to Massachusetts Income Tax Regulation, 830 CMR 62.17A.1; and
- Massachusetts has adopted basis adjustment rules to take into account differences between Massachusetts and federal tax laws. For more information regarding basis adjustment rules, see TIR 88-7.

Line 10. Massachusetts Short-Term Capital Gains

Enter the gross short-term capital gains from U.S. Schedule D, lines 1 through 5, column h.

Note: If there are any differences between U.S. and Massachusetts complete the line 10 worksheet.

Schedule B, Line 10 Worksheet

1. *Gross short-term capital gains from U.S. Schedule D, lines 1 through 5, column h* . . . . . .

2. *U.S. and Massachusetts differences* . . . . . .

3. *Combine lines 1 and 2*. . . . . .

4. *Capital loss transactions now included in line 3. Enter here and on line 6 of the Schedule B, Line 16 Worksheet* . . . . . .

5. *Subtract line 4 from line 3* . . .

6. *Capital gain transactions from line 4 of the Schedule B, Line 16 Worksheet* . . . . . .

7. *Total Massachusetts short-term capital gains. Add lines 5 and 6. Enter here and on Schedule B, line 10*. . . . . .

Line 11. Long-Term Capital Gains on Collectibles and Pre-1996 Installment Sales

Enter the amount of long-term capital gains on collectibles and pre-1996 installment sales classified as capital gain income for Massachusetts purposes, from Massachusetts Schedule D, line 12.

Line 12. Gain on Sale of Business Property

Enter from U.S. Form 4797 the amount of gain from the sale, exchange or involuntary conversion of property used in a trade or business and held for one year or less.

Schedule B, Line 12 Worksheet.

1. *Gross gain on sale of business property held for one year or less from U.S. Form 4797* . . . . . .

2. *U.S. and Massachusetts differences* . . . . . .

3. *Combine lines 1 and 2*. . . . . .

4. *Loss transactions now included in line 3. Enter here and in line 6 of the Schedule B, Line 17 Worksheet*. . . . . .

5. *Subtract line 4 from line 3* . . .

6. *Gain transaction from line 4 of the Schedule B, Line 17 Worksheet*. . . . . .

7. *Total Massachusetts gain on the sale, exchange or involuntary conversion of property used in a trade or business and held for one year or less. Add lines 5 and 6. Enter here and on Schedule B, line 12* . . . . . .

Line 13a. Add lines 10, 11 and 12

Full-year residents enter this amount here and on line 13c.

Line 14. Allowable Deductions from Your Trade or Business

Enter the appropriate amount from Massachusetts Schedule C-2 if you qualify for an excess trade or business deduction. Generally, taxpayers may not use excess 5.0% deductions to offset other income. However, where the taxpayer files a Massachusetts Schedule C or Schedule E, Massachusetts law allows such offsets if the following requirements are met: the excess 5.0% deductions must be adjusted gross income deductions allowed under MGL Ch 62, § 2(d); and these excess deductions may only be used to offset other income which is effectively connected with the active conduct of a trade or business or any other income allowed under IRC, § 469(d)(1)(B) to offset losses from passive activities.

Line 16. Short-Term Capital Losses

Enter the gross short-term capital losses included in U.S. Schedule D, lines 1 through 5, column h. If there are any differences between U.S. and Massachusetts complete the line 16 worksheet.

Schedule B, Line 16 Worksheet

1. *Gross short-term capital losses from U.S. Schedule D, lines 1 through 5, column h* . . . . . .

2. *U.S. and Massachusetts differences* . . . . . .

3. *Combine lines 1 and 2*. . . . . .

4. *Capital gain transaction now included in line 3. Enter here and on line 6 of the Schedule B, Line 10 Worksheet* . . . . . .

5. *Subtract line 4 from line 3* . . .

6. *Capital loss transactions from line 4 of the Schedule B, Line 10 Worksheet* . . . . . .

7. *Total Massachusetts Short-term Capital losses. Add lines 5 and 6. Enter here and on Schedule B, line 16*. . . . . .

Line 17. Loss on Sale of Business Property

Enter from U.S. Form 4797 the amount of loss from the sale, exchange or involuntary conversion of property used in a trade or business and held for one year or less. If there are any differences between U.S. and Massachusetts complete the line 17 worksheet.

Schedule B, Line 17 Worksheet

1. *Gross loss on sale of business property held for one year or less from U.S. Form 4797* . . . . . .

2. *U.S. and Massachusetts differences* . . . . . .

3. *Combine lines 1 and 2*. . . . . .

4. *Gain transactions now included in line 3. Enter here and in line 6 of the Schedule B, Line 12 Worksheet*. . . . . .

5. *Subtract line 4 from line 3* . . .

6. *Loss transactions from line 4 of the Schedule B, Line 12 Worksheet*. . . . . .

7. *Total Massachusetts losses on the sale, exchange or involuntary conversion of property used in a trade or business and held for one year or less. Add lines 5 and 6. Enter here and on Schedule B, line 17*. . . . . .

Line 18. Prior Years Short-Term Unused Losses

Enter here the amount from your 2024 Massachusetts Schedule B, line 40.

19a. Combine lines 15, 16, 17 and 18.

Enter here and in line 19c.

Line 20. Short-term losses applied against interest and dividends.

If you have a loss on line 19c you can apply up to $2,000 of it against interest and dividends re-

ported in line 9. If line 19c is zero or greater, go to line 24. If line 19 c is zero or less, enter the smaller of line 9 or line 19c on line 20 (considered as a positive amount). Not more than $2,000.

Line 21. Available Short-Term Losses

Combine lines 19c and 20. This amount should be 0 or less. If line 21 is less than 0, go to line 22. If line 21 is 0, omit lines 22 through 28 and go to Part 3.

If Schedule B, line 21 is a loss and Schedule D, line 13 is a loss, omit line 22, enter the amount from line 21 in line 23 and line 40, omit lines 24 through 28 and complete Part 3.

Line 22. Short-Term Losses Applied Against Long-Term Gains

If Schedule B, line 21 is a loss and Schedule D, line 13 is greater than 0, enter the smaller of Schedule B, line 21 (considered as a positive amount) or Schedule D, line 13 in Schedule B, line 22 and in Schedule D, line 14.

Line 24. Short-Term Gains and Long-Term Gains on Collectibles

Enter the amount from Schedule B, line 19c. If Schedule D, line 13 is 0 or greater, omit line 25 and enter the amount from line 24 in line 26. If Schedule D, line 13 is a loss, go to Schedule B, line 25.

Line 25. Long-Term Losses Applied Against Short-Term Gains

If Schedule B, line 24 is greater than 0, and Schedule D, line 13 is a loss, enter the smaller of Schedule B, line 24 or Schedule D, line 13 (considered as a positive amount) in Schedule B, line 25 and in Schedule D, line 14.

Line 27. Long-Term Gains Deduction

Schedule B, Line 27 Worksheet. Long-Term Gains Deduction

Complete only if line 26 is greater than 0 and there is an entry in line 11.

1. *Enter amount from Schedule B, line 11. . . . . .* [ ]

2. *Enter the total of Schedule B, lines 10 and 12. . . . . .* [ ]

3. *Enter the total of Schedule B, lines 16, 17, 18, and 25 . . . . .* [ ]

4. *If line 3, considered as a positive amount, is less than line 2, enter 0. If line 3, considered as a positive amount, is greater than line 2, combine lines 2 and 3 . . . . . .* [ ]

5. *Combine lines 1 and 4. . . . . .* [ ]

6. *Multiply line 5 by .5 (50%) . .* [ ]

7. *Enter the amount from Schedule B, line 26. . . . . .* [ ]

8. *Enter the smaller of line 6 or line 7 here and on Schedule B, line 27. Not less than 0. . . . . .* [ ]

- If there are no losses reported on lines 16, 17, 18 and 25, enter 50% of line 11.
- If the losses reported on lines 16, 17, 18 and 25 do not exceed the total amount of gain on lines 10 and 12, enter 50% of line 11.
- If the losses reported on lines 16, 17, 18 and 25 exceed the total amount of gain on lines 10 and 12 enter 50% of line 11 minus 50% of the excess loss (total of lines 16, 17, 18 and 25 minus the total of lines 10 and 12).

Example

Jack has a long-term capital gain on collectibles of $1,000 entered in line 11 and line 15. He does not have any other interest income (other than interest from Massachusetts banks) and dividend income. Jack also has a short-term capital loss of $100 entered in line 16 and a prior-year short-term unused loss of $200 entered in line 18. Jack enters $350 in line 27: $500 (50% of $1,000) – $150 (50% of $300) = $350.

Part 3. Adjusted Gross Interest, Dividends Short-Term Capital Gains and Long-Term Gains on Collectibles

Line 31. Subtotal Interest and Dividends

If Schedule D, line 15 is 0 or greater, omit Schedule B, line 32 and enter the amount from Schedule B, line 31 in Schedule B, line 33. If Schedule D, line 15 is a loss, go to Schedule B, line 32.

Line 32. Long-Term Losses Applied Against Interest and Dividends

If Schedule B, line 31 is a positive amount and Schedule D, line 15 is a loss, complete the Long-Term Capital Losses Applied Against Interest and Dividends Worksheet for Schedule B, Line 32 and Schedule D, Line 16. When completing the worksheet, be sure to enter all losses as a positive amount.

Schedule B, Line 32 and Schedule D, Line 16 Worksheet. Long-Term Capital Losses Applied Against Interest and Dividends

Complete only if Schedule B, line 31 is a positive amount and Schedule D, line 15 is a loss. Enter all losses as positive amounts.

1. *Enter amount from Schedule B, line 29. . . . . .* [ ]

2. *Enter the lesser of line 1 or $2,000 . . . . . .* [ ]

3. *Enter the amount from Schedule B, line 30. . . . . .* [ ]

4. *Subtract line 3 from line 2. If 0 or less omit the remainder of worksheet. Otherwise, complete lines 5 and 6. . . . . .* [ ]

5. *Enter any loss from Schedule D, line 15 as a positive amount. Otherwise, enter 0. . . . . .* [ ]

6. *If line 4 is less than or equal to line 5, enter line 4 here and in Schedule B, line 32 and in Schedule D, line 16. If line 4 is larger than line 5, enter line 5 here and in Schedule B, line 32 and in Schedule D, line 16 . . . . .* [ ]

Line 36. Excess Exemptions

Enter the amount from line 5 of the Schedule B, Line 36 and Schedule D, Line 20 Worksheet on page 11 (only if single, head of household or married filing a joint return and Form 1, line 18 is greater than Form 1, line 17).

Line 39. Total Taxable 8.5% and 12% Capital Gains

Schedule B, Line 39 Worksheet

Complete only if reporting an amount in Schedule B, Part 2, line 11. If no entry in Schedule B, Part 2, line 11, omit this worksheet and report the amount from Schedule B, line 39 on Form 1, line 23a, 8.5% Income.

1. *Total taxable gains from Schedule B, line 39. . . . . .* [ ]

2. *Long-term gains deductions from Schedule B, line 27 less the amount on Schedule B, line 36. Not less than 0.. . . . . .* [ ]

3. *Enter the smaller of line 1 or line 2. Enter result here and on Form 1, line 23b, 12% Income . . . . . .* [ ]

4. *Subtract line 3 from line 1. Enter result here and on Form 1, line 23a, 8.5% Income . . . . . .* [ ]

Schedule D

Note: If showing a loss, be sure to mark over the X in the box to the left. Also, be sure to enclose with Form 1.

Long-Term Capital Gains and Losses Excluding Collectibles

You must complete Massachusetts Schedule D if you had long-term gains or losses from the sale or exchange of capital assets or from similar transactions which are granted capital gain or loss treatment on your U.S. return, or if you had capital gain distributions. If you did not file U.S. Schedule D

the benefit of your employees. If the plan includes you as a self-employed person, do not include contributions made as an employer on your behalf. See DD 08-3 for more information.

Line 22. Travel

Enter your expenses for lodging and transportation connected with overnight travel for business while away from your tax home. Generally, your tax home is your main place of business regardless of where you maintain your family home. You cannot deduct expenses paid or incurred in connection with employment away from home if that period of employment exceeds one year. Spouse's and other family members' travel expenses are generally disallowed as a business deduction.

Do not include expenses for meals and entertainment on this line.

Line 23. Deductible Meals

Your deductible business meal expenses are a percentage of your actual business meal expenses. Include meals while traveling away from home for business. Instead of the actual cost of your meals while traveling away from home, you may use the standard meal allowance. Business meal expenses are deductible only if they are:

- Directly related to or associated with the conduct of your trade or business;
- Not lavish or extravagant; and
- Incurred while you or your employee is present at the meal.

Generally, you may deduct only 50% of your business meal expenses, including meals incurred while traveling away from home on business.

Business meals are 100% deductible if:

- The meals and incidentals are furnished or reimbursed to an employee if you properly treat the expense as wages subject to withholding; and
- The meals and incidentals are provided to a nonemployee to the extent the expenses are includible in the gross income of that person and reported on Form 1099-NEC.

For individuals subject to the Department of Transportation (DOT) hours of service limits, the percentage is 80% of business meals consumed during, or incident to, any period of duty for which those limits are in effect.

Daycare providers can deduct 100% of the actual cost of food consumed by daycare recipients.

Providers who qualify as family daycare providers may use the standard meal and snack rates to compute their deductible meals and snacks.

Figure how much of your business meal expenses are subject to limitations, add that amount to your fully deductible meals amount and enter the result in line 23 of Massachusetts Schedule C.

Schedule C, Line 23 Worksheet

1. *100% deductible meals*	
2. *80% deductible meals*	
3. *50% deductible meals*	
4. *Total deductible meals. Add lines 1 through 3 Enter here and on Schedule C, line 23*	

Line 26. Other Expenses

Ordinary and Necessary Business Expense Deductions Available for Licensed Massachusetts Marijuana Businesses

IRC § 280E prohibits marijuana businesses from deducting expenses and claiming tax credits for federal tax purposes. Effective for taxable years beginning on or after January 1, 2024, Massachusetts decoupled from the IRC § 280E deduction disallowance with respect to licensed marijuana businesses only. As a result, for Massachusetts tax purposes, a licensed Massachusetts marijuana business can deduct ordinary and necessary business expenses that would otherwise be disallowed under IRC § 280E.

These ordinary and necessary trade or business expenses should be reported on Schedule C, Line 26 "Other expenses."

Line 30. Abandoned Building Renovation Deduction

Massachusetts allows businesses to deduct 10% of the costs incurred in renovating certain buildings located in an Economic Opportunity Area (EOA). The buildings must be designated as abandoned by the Economic Assistance Coordinating Council. The renovation deduction may be taken in addition to any other deduction for which the renovation costs may qualify. For more information, contact the Massachusetts Office of Business Development by calling (617) 973-8600.

In line 30 enter 10% of the costs of renovating a qualifying abandoned building.

Line 31. Profit or Loss

Subtract the total of line 29 and line 30 from line 28. If a profit enter here and on line 34. If a loss enter here and go to line 32.

Line 32. Deductible Loss.

If line 31 is a loss do not enter the loss in line 32 until you have applied the at-risk rules and the passive-activity loss rules. (For the at-risk rules, see instructions for line 33. For the passive-activity loss rules, see instructions for U.S. Form 8582.) The amount on line 32 will be your deductible loss; note that it might be smaller than the line 31 loss.

Line 33. If You Have a Loss

Fill in the oval in line 33a if all of your investment is at risk. Enter your loss from line 31 on line 32. If you did not fill in the oval to this question, complete a pro forma copy of U.S. Form 8582 that reflects only income being reported on your Massachusetts return. Enter in Massachusetts Schedule C, line 32 your allowable loss calculated on Form 8582.

Fill in the oval in line 33b if only some of your investment is at risk. To determine the amount of your allowable loss, complete a pro forma copy of U.S. Form 6198 that reflects only income being reported on your Massachusetts return. Enter the amount calculated on U.S. Form 6198 in line 32. If you did not materially participate in the operation of this business, your loss is further limited. Use the amounts calculated on your pro forma U.S. Form 6198 to complete a pro forma U.S. Form 8582. If your at-risk amount is 0 or less, enter 0 in line 32.

Line 34. Profit

Enter the profit from line 31.

Line 35. Total Profit or Loss.

If line 31 is a profit enter the amount from line 34. If line 31 is a loss enter the amount from line 32.

Line 36. Allowable Prior-Year Suspended PAL

If your gross income is more than your expenses and you do not have prior-year unallowed passive-activity losses, enter 0 in line 36.

If your gross income is more than your expenses and you have prior-year unallowed passive-activity losses, calculate the amount of Massachusetts prior-year unallowed passive-activity losses claimable for this activity. Use a pro forma version of U.S. Form 8582 to calculate the amount of eligible Massachusetts prior-year unallowed passive-activity losses (PAL). If you are claiming PAL, enter the amount of those allowable prior-year suspended PAL you are applying in line 36.

Line 37. Net Profit or Loss.

Combine lines 35 and 36, then include on Form 1, line 6a.

Schedule CB

What Is It?

Senior citizens in Massachusetts may be eligible to claim a refundable credit on their state income taxes for the real estate taxes they paid on the Massachusetts residential property they own or rent and which they occupy as their principal residence. The maximum credit allowed is $2,820 for the tax year beginning January 1, 2025. See TIR 25-7 for more information.